

complaint

Mr D is unhappy with Royal & Sun Alliance Insurance Plc's ("RSA") decision to decline his home insurance claim following an escape of water and the process undertaken by it in reaching that decision and responding to his complaint.

background

Mr D's home suffered an escape of water. Due to a medical condition, Mr D was at the time living with a friend and had been so for more than a year. Mr D's medical condition had left him unable to deal with his day to day affairs, although he was assisted by his friend in that regard. Mr D's friend had been checking the property on a weekly basis and had been collecting his post.

In declining Mr D's claim, RSA relied on a policy term that excluded liability for escapes of water where the property had been unoccupied for more than 60 days. *"Unoccupied"* was defined in the policy as *"When your home has not been lived in by your family or by anyone who has your permission, for more than 60 days in a row. Lived in means slept in frequently."*

Mr D's policy automatically renewed whilst he was away from home and was paid for by direct debit. Renewal documents were sent out and these included a specific requirement that Mr D inform RSA of any changes in his circumstances. One of the highlighted matters that RSA required Mr D to tell it about was if his home was going to be unoccupied for a total of more than 60 days in any insurance period.

Initially, following Mr D coming to live with her, Mr D's friend was not opening all of his post, although we have been told that at the time the renewal notice was sent to Mr D, his friend was opening and dealing with his correspondence. Unfortunately, this did not include informing RSA of the change in Mr D's home circumstances.

Mr D considers that RSA did not handle his claim appropriately and did not take into account his medical condition in deciding how to deal with his claim. He takes the view that because his property was being inspected weekly by his friend and that he had made arrangements to ensure that it was kept secure, RSA has acted unfairly in relying on this term of his policy to decline his claim. Mr D was incapable at the relevant time of dealing with his affairs himself and he considers that the occupation provisions of the policy are inherently unfair as their effect is to pay out on a claim that happens within 60 days of a property being unoccupied (even if it is not checked weekly) but does not pay out after the 61st day, even when it is inspected frequently.

Our adjudicator did not recommend that Mr D's complaint be upheld. Mr D has asked for an ombudsman's decision.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

In considering whether an insurer has acted fairly, it is this service's approach to first consider whether the term relied upon is clear and has been sufficiently drawn to a

consumer's attention. If it has, then we look at whether it is fair in all of the circumstances of the case for the insurer to rely on the term.

Contracts of insurance are, by their very nature, detailed documents. They generally provide cover for unexpected circumstances causing damage to property. Policies are priced on underwriting criteria that take into account the risk of a claim arising. In the case of unoccupied properties, some risks are greater than those in a property where people are residing; problems will generally be noted much earlier if someone is in occupation, or indeed they may not happen at all.

Insurance companies often attach conditions to an unoccupied property, where it is to be empty over an extended period of time, and particularly over the winter. These often require that the water and heating systems are either drained down or the heating is left on at a low temperature. This is to both protect the consumer's home from problems arising and also to mitigate the occurrence or quantum of a claim.

The terms found in RSA's policy are not unusual and as our adjudicator has said to Mr D, it is not in this service's remit to analyse the application of these terms across the insurance industry. It is an insurer's decision as to how it defines the risk that it is prepared to accept. Whilst this may mean that a claim arising within the first 60 days of absence would be paid, and one arising immediately after that wouldn't, it is the wider risk relating to unoccupied properties that insurers seek to guard against, whilst recognising that consumers may be out of their properties for short periods. It is my finding that the terms relating to an unoccupied property were clear in Mr D's policy and RSA's requirements were brought to his attention in the renewal documentation.

In Mr D's case, he had not let RSA know that his home was empty and had been so for some time. This was not Mr D's fault as I accept that his medical condition meant that he was incapable of dealing with his daily affairs. It was, however, not RSA's fault either. RSA tell me that had it known that Mr D's home was empty, it would have applied similar terms to those that I have described above to his policy. There would also have been a significant increase in Mr D's premium.

I appreciate Mr D's concerns that RSA did not fully take into account his health in deciding whether or not to accept his claim. I have reviewed RSA's file and the evidence compiled by our adjudicator. RSA did request information on Mr D's condition and this does appear to have been taken into account when it reached its decision. The property had been empty for quite some time and Mr D's friend was, at the time that the policy renewed, handling his day to day affairs for him. This included collecting and opening his correspondence.

Although RSA's requirements regarding occupancy were clearly overlooked, Mr D's friend was diligently looking after the property by carrying out weekly inspections. That did not, however, negate the policy requirement to inform RSA when the property was unoccupied. It is my finding that this was clearly set out in the policy renewal documents and that RSA has not acted unreasonably in relying on the policy terms to decline Mr D's claim.

In considering RSA's treatment of Mr D, I have also noted the steps that it took to treat Mr D fairly in the unusual circumstances of his case. RSA's underwriter sent out an assessor to determine the exact circumstances of the claim. I accept that this only happened after Mr D complained, although I have not found that the initial claims decision was made unfairly. In re-considering his claim, RSA was checking whether or not Mr D had in fact carried out the preventative measures that it would have required had it known that the property was

unoccupied. These would have included frequent checks on the home (which were carried out on Mr D's behalf) and also the draining down of the water system or keeping the heating on. Unfortunately, Mr D had not done those latter things and, therefore, RSA determined that its decision had still been correct.

The manner in which RSA dealt with Mr D's correspondence could have been better. It seems that it was focussing on the decline of his claim from which Mr D's other concerns had flowed. Having reviewed its internal files, it is clear to me that RSA was treating Mr D's complaint seriously and this had been raised to senior people within the organisation within the time periods that I would have expected. Although this was not communicated to Mr D as clearly as it could have been, overall, I have not found that the manner in which RSA treated Mr D was either unfair or unreasonable.

my final decision

It is my final decision not to uphold this complaint. I do not require that Royal & Sun Alliance Insurance Plc need to do anything further.

Under the rules of the Financial Ombudsman Service, I am required to ask Mr D to accept or reject my decision before 9 February 2015.

James Kennard
ombudsman